KARNATAKA

BETTING BIG ON BENEFITS

By Ajay Sukumaran

A 'Guarantee Budget'. That's what Karnataka chief minister Siddaramaiah has labelled the state's annual financial plan he presented last week. What makes it ambitious is not just the razor-sharp focus on equitable distribution of resources, but Siddaramaiah's bold declaration that the implementation of the five Congress poll promises, on the back of which the party rode to power this May, would essentially translate into an equivalent of a universal basic income of around Rs 4,000 for nearly 13 million families in the state. A whopping Rs 35,410 crore has been set aside for the five 'guarantees': the Anna Bhagya (five kilos of extra rice for poor families), Shakti (free travel for women in state-run buses), Gruha Lakshmi (Rs 2,000 monthly allowance for women), Gruha Jyothi (free power) and Yuva Nidhi (unemployment dole) programmes. But, beyond these big bets, balancing welfare with growth remains the Siddaramaiah government's big challenge.

"Though the major share of GST collected comes from the bottom 60 per cent people of society, most profits of the economic system go to the top 10 per cent," the CM said in his Budget speech, explaining the rationale behind putting more money in the hands of the poor. But this still needs money. There are two key areas the CM is looking at to mobilise resources: liquor sales and real estate transactions. While the additional excise duty on hard liquor was hiked by 20 per cent (and on beer by 10 percentage points), the government hopes to mop up at least Rs 6,000 crore from an increase in guidance values of immovable properties, which were last revised four years ago.

'BRAND BENGALURU' GETS A BOOST WITH RS 27,000 CRORE EARMARKED FOR REPAIRING ROADS AND STORMWATER DRAINS, EXTENDING THE METRO LINE AND COMPLETING EXISTING PROJECTS

What also proved to be crucial was the growth in Karnataka's Gross State Domestic Product (GSDP), which has given the government more headroom for borrowings. Though public debt this fiscal is estimated at Rs 85,818 crore, up from the revised estimates of Rs 67,000 crore in 2022-23, the fiscal deficit at Rs 66,646 crore has been maintained at 2.6 per cent of the GSDP, and total outstanding liabilities (Rs 5,71,665 crore) are at 22.27 per cent—both within the limits (3 per cent and 25

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GROUP SPIRIT
Karnataka CM Siddaramaiah (centre right) and deputy CM D.K. Shivakumar holding aloft the Budget papers on July 7